

Refine it a bit and you could put it in a tank and it would run directly into the burner—no shoveling, sawing, or toting necessary.

Oil made America what it was. Pumped from fields in Texas, refined at plants in New Jersey, America's high-octane fuels ruled the world.

We recall driving to from Maryland to New Mexico in the early 1970s. For some reason, there was a price war being waged along Route 66. One station advertised gasoline at 28 cents per gallon. Another went down to 24 cents. And they washed your windshield, too.

Today, the typical working man in America pays about 17 times as much for gasoline. Adjusted for changes in the Consumer Price Index, he pays about five or six times as much. In real terms, Americans pay more of their incomes for gasoline than they did in the early 1970s—much more.

AMERICA DEPENDS ON CHEAP OIL

Cheap oil may have sealed the success of the United States. It certainly determined the look and the makeup of modern America. Suburbs are dependent on automobiles and trucks—which run on oil. The vast build-out in Las Vegas, Phoenix, Miami, and other heat-plagued areas was possible only because oil-fired generators allowed for electrical power to cool buildings. The distant suburbs made sense only as long as you could get into town without spending too much on energy.

The United States was the world's leading oil exporter, up to 1974. But now Americans buy energy at the world price, just like everybody else. And the price is rising. U.S. consumers compete with consumers all over the globe, including those in emerging markets. Fifty years ago, the Chinese, the Russians, the Indonesians, Latin Americans, and Africans barely used any oil at all. But now they're in the market—billions of them—bidding for oil. The price of petroleum has risen from just \$25 per barrel as recently as eight years ago, to about \$100 per barrel today. And while the price may go down, it is unlikely to go down and stay down at the levels that gave the United States a competitive advantage.